



Q.17) How can India achieve the goal of multi-modal movement of cargo at par with global logistics standards? Discuss the various challenges in achieving the goal and the policy reforms needed to address the same. (15 Marks, 250 Words)

वैश्विक रसद मानकों के साथ भारत पोतमार/नौवहन के बहु-मोडल के लक्ष्य को कैसे प्राप्त कर सकता है? लक्ष्य और नीतिगत सुधारों को प्राप्त करने के लिए विभिन्न चुनौतियों पर चर्चा करें। (15 अंक, 250 शब्द)

Multi-modal movement of cargo means utilising all modes of transport - road, rail, air, waterways, to efficiently move cargo.

Global logistics Standards is of less than 10% logistics cost. India however is an outlier with 14% of logistics cost.

To reach the global logistics Standards a multimodal movement system is envisaged, as against the present skewed modal mix.

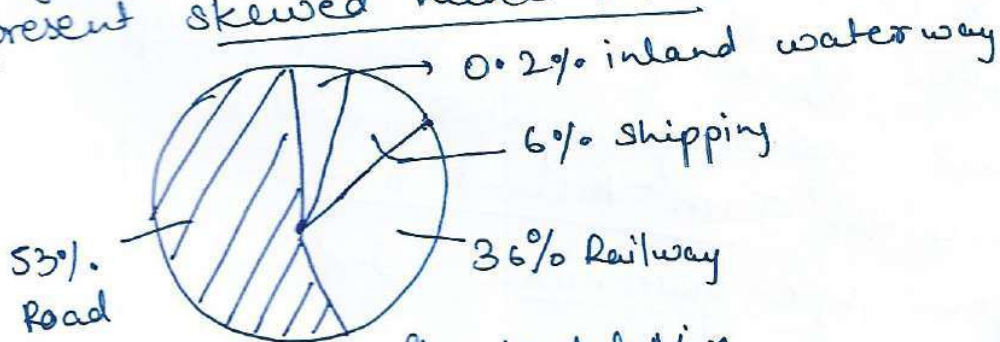


Fig. Modal Mix

India can achieve the global standards by

1. Developing last mile connectivity to hinterland.
2. Boosting the inland waterways that is more cost effective for cargo movement - eg. Jal Marg Vikas Project
3. Creation of Multi Modal ports eg. Varanasi - Sahibganj - Haldia proposal
4. Multi-Modal Logistics Parks eg. Assam.
4. Speeding up the creation of Dedicated Freight Corridor (DFC) to make Railways more competitive.
5. Port development through Sagarmala initiative, with connectivity to other ports through road network.
6. Creation of competitive pricing policy for all modes of logistics, and to reduce the Turn-Around-Time.
7. Adoption of e-governance, single window approvals, etc.

Challenges

Road $\left\{ \begin{array}{l} \text{over congested} \\ \text{poor quality construction} \\ \text{lack of connectivity to hinterland.} \end{array} \right.$

Railway $\left\{ \begin{array}{l} \text{cross subsidisation} \\ \text{Lack of DFC.} \\ \text{last mile connectivity concern} \end{array} \right.$

Waterways $\left\{ \begin{array}{l} \text{Dredging \& infrastructure} \\ \text{Seasonality of rivers} \\ \text{\& meandering rivers.} \end{array} \right.$

Ports $\left\{ \begin{array}{l} \text{Trust model} \\ \text{Lack of modernisation.} \end{array} \right.$

Policy Reforms

- Adoption of National Logistics Policy.
- Creating one dedicated ministry for all transport (proposed by 2nd ARC)
- Monitoring & adoption of technology.
- Push for infrastructure eg. National Pipeline.

Thus, a concerted effort is needed towards the entire logistics sector.

Feedback (For OFFICE use only)

Structure		Content	
Question Interpretation		Total :	